

sells the company at a “fire-sale” price of \$2.5 million to a private equity firm. His poor timing cost him more than \$600 million.

Asset valuations of businesses, real estate, and other appreciable assets are nothing, but just that—valuations based on subjective analysis and market data. If the company you build from scratch has a paper valuation of \$60 million and your bank account only has \$10,000, are you really a millionaire? Not really. Illiquid, paper-millionaires can’t buy Ferraris and palatial estates; money does. And to get the money, you have to increase profit and save it, or go for the big exit: liquidation.

Fastlaners accelerate wealth by building cash-flowing assets that can be sold in the marketplace to realize gains. Their wealth equation has controllable, unlimited leverage.

CHAPTER SUMMARY: FASTLANE DISTINCTIONS

- The key to the Fastlane wealth equation is to have a high speed limit, or an unlimited range of values for units sold. This creates leverage. The market for your product or service determines your upper limit.
- The higher your speed limit, the higher your income potential.
- The primary wealth accelerant for the rich is asset value, defined as appreciable assets created, founded, or bought.
- Wealth creation via asset value is accelerated by each industry’s average multiplier. For every dollar in net income realized, the asset value multiplies by a factor of the multiple.
- Your industry of specialization will determine the average multiple that determines your wealth accelerant factor. If the multiple is 3, your WAF is 300%.
- Liquidation events transform appreciated assets (“paper” net worth) into money (“real” net worth) that can be transformed into another passive income stream: a money system.